

Instructor Guide

NELLEN, YOUNG, CRIPE, LASSAR, PERSELLIN, CUCCIA, CORPORATIONS, PARTNERSHIPS, ESTATES & TRUSTS 2026, 9798214044033; CHAPTER 9: PARTNERSHIPS: FORMATION, OPERATION, AND BASIS

TABLE OF CONTENTS

Chapter Objectives	1
Chapter Outline.....	2

CHAPTER OBJECTIVES

The following objectives are addressed in this chapter:

- 9.1 Define “partnership,” and distinguish among the various types of entities treated as partnerships for tax purposes.
- 9.2 Describe the conceptual framework for partnership taxation and reporting.
- 9.3 Determine the tax effects (and special rules) when forming a partnership with cash and property contributions.
- 9.4 Specify the elections available to a new partnership and the treatment of its expenditures.
- 9.5 Specify the accounting methods and taxable years available to a partnership.
- 9.6 Report a partnership’s taxable income and separately stated items on Form 1065.
- 9.7 Report information on a partner’s Schedule K–1 and the partner’s tax return.
- 9.8 Discuss the requirements for allocating income, gains, losses, deductions, and credits among the partners.
- 9.9 Determine a partner’s basis in the partnership interest.
- 9.10 Explain how liabilities affect a partner’s basis.

- 9.11 Illustrate a partner's capital account roll forward, and explain why the year-end balance might differ from the partner's year-end basis in the partnership interest.
- 9.12 Apply the limitations on deducting partnership losses.
- 9.13 Describe how a partner calculates self-employment tax and net investment income tax on partnership income.
- 9.14 Provide insights regarding the advantageous use of a partnership.

[\[return to top\]](#)

CHAPTER OUTLINE

In the outline below, each element includes references (in parentheses) to related content. "CO CH.##" refers to the chapter objective; "PPT Slide #" refers to the slide number in the PowerPoint deck for this chapter (provided in the PowerPoints section of the Instructor Resource Center); and, as applicable for each discipline, accreditation or certification standards ("BL 1.3.3"). Introduce the chapter and use the Ice Breaker in the PPT if desired, and if one is provided for this chapter. Review learning objectives for Chapter 9 (PPT Slides 2–5).

- I. Overview of Partnership Taxation
 - a. What Is a Partnership? (9.1, PPT Slides 10–22)
 - i. A partnership is defined as an association formed by two or more persons to carry on a trade or business, with each contributing money, property, labor, or skill, and with all expecting to share in profits and losses.
 - 1. A "person" can be an individual, trust, estate, corporation, association, or another partnership.
 - 2. The entity must be unincorporated and cannot be otherwise classified as a corporation, trust, or estate.
 - ii. Types of Partnerships. Partnership entities are defined and formed under state law. They are typically distinguished based on the classification of the partners as general partners or limited partners and the types of business permitted to be conducted.
 - 1. General partners can participate in managing the entity. A general partner can be legally required to repay a partnership's "recourse" debt.
 - 2. Limited partners are typically not permitted to participate in entity management, and they are not liable for partnership debts.
 - 3. Some of the more common types of entities treated as partnerships include the following:

- (a) A general partnership (GP) consists of two or more general partners who may participate in management; there are no limited partners. General partnerships often are used for operating activities and corporate joint ventures.
 - (b) A limited partnership (LP) is a partnership with at least one general partner and one or more limited partners. These partnerships often have numerous limited partners and are used to raise capital for real estate development, oil and gas exploration, research and development, and various financial product investment vehicles.
 - (c) In a limited liability company (LLC), the owners (termed “members”) are a hybrid type of partner. An LLC combines the corporate benefit of limited liability for the owners with the benefits of partnership taxation, including the single level of tax.
 - (d) A limited liability partnership (LLP) is treated similarly to a general partnership in most states. The primary difference between an LLP and a general partnership is that an LLP partner is not personally liable for any malpractice committed by other partners.
- 4. A partnership agreement is signed by each partner (or partner’s representative) and outlines the rights and obligations of the partners; the allocation of income, deductions, and cash flows; initial and future capital contribution requirements; conditions for terminating the partnership; and other matters.
- 5. The governing agreement of an LLC has a similar structure and is known as an operating agreement.
- 6. Concept Summary 9.1 in the text summarizes characteristics of the various entities treated as partnerships.
- b. Key Concepts in Taxation of Partnership Income (9.2, PPT Slides 23–30)
 - i. Flow-Through Status of Entity. The partnership itself pays no Federal income tax.
 - 1. The partnership files a Form 1065 which includes a Schedule K–1 for each partner that shows that partner’s share of partnership items.
 - 2. Partners report their distributive share of the partnership’s income or loss on their separate tax returns and pay any tax due.
 - ii. Conceptual Framework for Partnership Taxation. The tax treatment of partners and partnerships can be traced to two legal concepts: the aggregate (or conduit) concept and the entity concept.
 - 1. Aggregate (or Conduit) Concept. Treats partnerships as a channel through which income, credits, deductions, and other items flow to the partners. Under this concept, the partnership

is regarded as a collection of taxpayers joined in an agency relationship.

Example: Each partner receives Schedule K-1 and reports a share of partnership items.

2. Entity Concept. Treats partners and partnerships as separate units and gives the partnership its own tax “personality.”

Example: A partnership files Form 1065.

3. Combined Concepts. Rules governing the formation, operation, and liquidation of a partnership contain a blend of both the entity and aggregate concepts.
- iii. Inside and Outside Basis. The partnership basis rules are the key reason single taxation of partnership income is possible. In general, this aggregate concept works to ensure that the partnership’s inside basis equals the sum of the outside basis for all partners.
 1. Inside basis refers to the partnership’s adjusted tax basis for each asset it owns.
 2. Outside basis represents each partner’s basis in the partnership interest.
 3. When income or gain flows through from the partnership to a partner, the partner’s outside basis in the partnership interest is increased.
 4. When a deduction or loss flows through to a partner, the outside basis is reduced.
 5. These adjustments ensure that partnership items are taxed only once.
- iv. Partners’ Ownership and Allocation of Partnership Items. Each partner typically owns both a capital interest and a profits (loss) interest in the partnership.
 1. A capital interest is a partner’s capital sharing ratio, which is the partner’s percentage ownership of the partnership’s capital. It determines the percentage of the net asset value a partner would receive upon immediate liquidation of the partnership.
 2. A profits (loss) interest is the partner’s percentage allocation of current partnership operating results. Partnerships can change the profit and loss allocations at any time simply by amending the partnership agreement.
 3. Profits and capital interests do not have to be equal, and these interests may not be the same over time. In fact, these interests may vary for different types of income, deductions, etc., during a single tax year.

II. Formation of a Partnership: Tax Effects (9.3, PPT Slides 31–50)

- i. When a partnership is formed, the partners contribute cash and other property in exchange for the partnership interest.

- a. Contributions to the Partnership
 - i. Congress intended the formation of a partnership to be tax-neutral. Thus, a partnership can be formed without (generally) prohibitive tax consequences.
 - ii. Gain or Loss Recognition. As a general rule, neither the partner nor the partnership recognizes any realized gain or loss arising on contribution of property to a partnership. The realized gain or loss is deferred rather than forgiven.
 - iii. Basis Issues. When a partner makes a tax-deferred contribution of an asset to the capital of a partnership, any potential gain or loss recognition is merely postponed instead of being permanently excluded.
 - 1. Partnership's Basis in Assets. The partnership takes a carryover basis in the contributed assets it receives. This means that the partner's basis in the asset carries over to become the partnership's inside basis in the asset.
 - 2. Partner's Basis in the Partnership Interest. The partner takes a substituted basis in the partnership interest. This means that the partner's basis in the contributed assets transfers over to become the partner's outside basis in the partnership interest.
 - iv. Holding Period.
 - 1. Partnership's Holding Period in Assets. The partnership's holding period for the contributed assets includes the period during which the partner owned the asset.
 - 2. Partner's Holding Period in the Partnership Interest. The partner's holding period in the partnership interest depends on the type of contributed assets.
 - (a) If contribution is capital and § 1231 assets, the holding periods are the same.
 - (b) If only cash or assets that are not capital or § 1231 assets are involved, the holding period begins on the date the partnership interest is acquired.
- b. Exceptions to the General Rule of § 721
 - i. In certain situations, the nonrecognition provisions do not apply. The most widely applicable triggers are when:
 - Appreciated stocks are contributed to an investment partnership.
 - The transaction is essentially a disguised sale or exchange of properties.
 - The partnership interest is received in exchange for services rendered to the partnership by the partner.
 - § 721(c) applies.
 - ii. Investment Partnership. If the transfer consists of appreciated stocks and securities and the partnership is an investment

partnership, it is possible that the contributing partner will recognize the inherent realized gain at the time of the contribution. This rule prevents investors from using the partnership form to diversify their investment portfolios on a tax-free basis.

- iii. Disguised Sale or Exchange. For transactions that have the appearance that property is being sold rather than contributed to the partnership, § 721 cannot be used to defer a gain or loss.
 - 1. When assets are contributed to a partnership and the contributing partner then receives a distribution of different assets, this partner may be deemed as having a disguised sale of the contributed property to the partnership.
 - 2. Extensive Regulations outline situations in which (1) assumption of liabilities “other than a qualified liability” by the partnership can trigger disguised sale treatment and (2) the IRS may presume that a disguised sale has occurred.
 - 3. If the distribution occurs more than two years after the property contribution or if it is deemed “reasonable” in relation to the partner’s invested capital, the distribution is not presumed to be a disguised sale.
- iv. Services. A partner may receive an interest in partnership capital or profits in exchange for services rendered to the partnership.
 - 1. Capital Interest Received in Exchange for Services. When a partner receives a fully vested interest in partnership capital (i.e., unrestricted liquidation rights) in exchange for services, the value of the interest is generally taxable to the partner as ordinary compensation income.
 - 2. Profits Interest Received in Exchange for Services. Transfer of a partnership profits interest in exchange for services is generally taxed to the recipient partner as the profits are earned. The amount of the partnership’s future profits cannot typically be determined, so there is no current value to the interest.
 - (a) If the future profits interest is classified as a carried interest, special rules apply.
 - (b) The effect of these rules is that for certain types of interests received in exchange for services, future capital gains related to the interest (whether pass-through gains on Schedule K–1 or gains on the partner’s sale of the interest) are recharacterized as ordinary income to the partner.
 - (c) The holding period requirement and gain character reclassification do not apply to other Schedule K–1 items, such as interest income or qualified dividends.

- (d) An interest is not a carried interest if the partner “pays” for it, either with contributed cash or other assets, or through income recognition under § 83.
- c. Other Issues Related to Contributed Property
 - i. When property is contributed to a partnership, other issues arise, including cost recovery, allocations related to the property, and subsequent dispositions of the property.
 - ii. Depreciation Method and Period. If a partner contributes depreciable property, the partnership generally “steps into the shoes” of the contributing partner and continues to use the depreciation schedule and calculations the partner used.
 - iii. Amortization of Intangible Assets. If a partner contributes an existing intangible asset to the partnership, the partnership generally will “step into the shoes” of the partner in determining future amortization deductions.
 - 1. Code § 197 intangible assets are amortized over 15 years and include purchased goodwill, going-concern value, information systems, customer- or supplier-related intangible assets, patents, licenses obtained from a governmental unit, franchises, trademarks, covenants not to compete, and other items.
 - 2. Other intangible assets are amortized over their useful life, if any.
 - iv. Character of Gain or Loss on Disposition of Receivables, Inventory, and Built-In Loss Properties. When a partner contributes certain types of property to a partnership, the aggregate theory comes into play if the partnership later sells the property.
 - 1. Ordinary Income Property. If the partner contributes either of the following types of property, the partnership’s later sale of the property results in ordinary income for:
 - (a) Accounts receivable where the contributing partner has not yet recognized the related income (e.g., cash basis accounts receivable).
 - (b) Inventory (in the contributing partner’s hands) that would have resulted in ordinary income if the partner had sold it if the partnership sells the inventory within five years of the contribution date.
 - 2. Capital Loss Property. If the partner contributes property with a “built-in” capital loss at the contribution date, the partnership’s later sale of that property within five years of the contribution date results in a capital loss. The capital loss is limited to the “built-in” loss at the contribution date.
 - v. Allocations Related to Contributed Property. Special allocations must be made relative to contributed property that is appreciated or depreciated. The partnership’s income and losses must be

- allocated to ensure that the inherent gain or loss is not shifted away from the contributing partner.
- vi. Concept Summary 9.2 in the text reviews the rules that apply to partnership asset contribution and basis adjustments.
- d. Tax Accounting Elections (9.4, PPT Slides 51–58)
- i. A newly formed partnership must make numerous tax accounting elections stating how certain transactions or tax attributes should be handled. In general, these elections must be made by the partnership rather than by the partners individually.
 - ii. The partnership, rather than the partners, makes other elections and calculations under general tax accounting rules, including:
 - Cost recovery methods and assumptions.
 - § 179 deductions for certain tangible personal property.
 - Inventory method.
 - Calculation of the partnership's allowable business interest expense deduction.
 - Calculation of all partnership tax credits except foreign tax credit.
 - Cost or percentage depletion method, excluding oil and gas wells.
 - Amounts and treatment of research and experimental expenditures.
 - iii. Each partner is bound by the decisions made by the partnership relative to these items. If the partnership fails to make an election, a partner cannot make the election individually.
 - iv. Each partner is required to make a specific election for the following tax issues:
 - Whether to reduce the basis of depreciable property first when excluding income from discharge of indebtedness.
 - Whether to claim cost or percentage depletion for oil and gas wells.
 - Whether to take a deduction or credit for taxes paid to non-U.S. jurisdictions.
- e. Initial Costs of a Partnership
- i. In its initial stages, a partnership incurs expenses related to some or all of the following activities:
 - Forming the partnership (organizational costs).
 - Starting business operations (startup costs).
 - Admitting partners to the partnership.
 - Marketing and selling partnership units to prospective partners (syndication costs).
 - Acquiring assets.
 - ii. Organizational and Startup Costs. A partnership's organizational costs and startup costs parallel the rules for corporations.

1. Each type of cost is considered separately, so for each category, a partnership can deduct up to \$5,000 immediately (subject to phaseout) with the excess amortized over 180 months, beginning with the month in which the partnership begins business.
2. This treatment is elected by deducting the proper amounts on the tax return.
- iii. Syndication Costs. Syndication costs are capitalized, but no amortization election is available. Syndication costs include expenditures incurred for promoting and marketing partnership interests such as brokerage fees, registration fees, certain legal fees, accounting fees related to the offering materials, and printing costs of the prospectus and other selling materials.
- iv. Acquisition Costs of Depreciable Assets. The partnership typically determines its depreciation deductions by “stepping into the shoes” of the contributing partner. If additional costs are incurred, though, the additional basis is treated as a new MACRS asset, placed in service on the date the partnership places the asset in service.
- f. Method of Accounting (9.5, PPT Slides 59–66)
 - i. Newly formed partnerships may adopt either the cash or accrual method of accounting or a hybrid of these two methods.
 - ii. If a partnership uses the accrual method of accounting, its income must be reported no later than the date that income would be reported on the partnership’s “applicable financial statement” or other similar financial statement.
 - iii. The cash method may not be adopted by a partnership that:
 - Has one or more C corporation partners.
 - Is a tax shelter.
 - iv. However, a partnership with a C corporation partner may use the cash method if:
 - The partnership meets the \$31 million gross receipts test.
 - The C corporation partner(s) is a qualified personal service corporation.
 - The partnership is engaged in the business of farming.
 - v. A partnership meets the \$31 million gross receipts test if its average annual gross receipts are \$31 million or less for 2025.
 1. “Average annual gross receipts” is the average of gross receipts for the three tax years (or the number of prior years the partnership has been in existence, if fewer) ending with the tax period prior to the tax year in question.
 2. If the gross receipts test is not met, the partnership must change to the accrual method the next tax year.
- g. Taxable Year of the Partnership

- i. Partnership taxable income flows through to each partner at the end of the partnership's taxable year. A partner's taxable income includes the distributive share of partnership income for any partnership taxable year that ends during the partner's tax year. (See Exhibit 9.1 in the text for the permitted taxable years of partnerships.)
- ii. Deferral of Partnership Income. To prevent excessive deferrals, § 706(b)(1) requires that the tax year of a partnership be determined by systematic reference to the partners' tax years. See Exhibit 9.1 in the text.
- iii. Required Taxable Year. The partnership's required taxable year is determined in the following order:
 - The tax year of the majority partners, if partners owning more than 50% of partnership profits and capital have the same tax year.
 - The tax year of all principal partners if all partners owning 5% or greater of profits or capital interest have the same tax year.
 - The year determined under the least aggregate deferral rule as outlined in the Regulations for § 706.
- iv. Alternative Tax Years. If partners are dissatisfied with the required year-end, three alternatives may be available.
 1. The taxpayer can establish a business purpose for a different taxable year.
 2. The taxpayer can elect a tax year-end with not more than a three-month deferral of income, relative to the required taxable year, under § 444.
 3. The taxpayer can use a 52–53 week taxable year.

III. Partnership Operations and Reporting (9.6, PPT Slides 67–96)

- i. For income tax purposes, a partnership is a tax-reporting, rather than a taxpaying, entity.
- a. Partnership Reporting
 - i. Partnership Reporting and Form 1065. The partnership's Form 1065 organizes and reports the transactions of the entity for the tax year. The form consists of six pages.
 1. Page 1 summarizes the partnership's ordinary income and loss from trade or business activities.
 2. Pages 2, 3, and 4 provide information about the partnership's activities and general information about the partners.
 3. Page 5 (Schedule K) summarizes the partnership's ordinary income or loss, separately stated items, and other items that will be allocated among the partners on Schedules K–1.

4. Page 6 provides several schedules, including a balance sheet, a reconciliation of book and “taxable” income, and a reconciliation of partners’ beginning and ending capital.
5. Form 1065 is due by the fifteenth day of the third month following the end of the tax year. For a calendar year partnership, this deadline is March 15.
- ii. Partner Reporting and Schedule K–1. The partners must be informed of their shares of partnership income, expenses, gains, losses, and other information they must report. The partnership allocates each item from Schedule K [including the partnership’s ordinary income (loss) from line 1] among all the partners on Schedules K–1. One copy of each Schedule K–1 is filed with the Form 1065, and another copy is provided to the respective partner.
- iii. Other Partnership Taxes. A partnership is subject to all taxes (other than income taxes) in the same manner as any other business. Thus, the partnership files returns and pays appropriate sales taxes and property taxes; Social Security, unemployment, and other payroll taxes; and, in some states, franchise taxes.
- b. Measuring Partnership Income
 - i. A partnership measures and reports two general kinds of income: ordinary business income and separately stated items.
 - ii. Ordinary Business Income. Consists of any income or expenses that are not required to be separately stated.
 1. The partnership makes elections related to inventory, depreciation, research and experimentation expenses, and similar business-related amounts, so it makes sense that the partners don’t need separate information about these calculations.
 2. The partnership also calculates and claims the allowable business interest expense deduction, but any disallowed interest expense is treated as a separately stated item.
 - iii. Separately Stated Items. Any item with tax attributes that might affect any two partners’ tax liabilities in different ways.
 1. Among the many income and deduction items passed through separately are the following:
 - Net short-term and net long-term capital gains or losses.
 - § 1231 gains and losses.
 - Portfolio income items (qualified and ordinary dividends, interest, and royalties).
 - Expenses related to portfolio income.
 - Disallowed business interest expense and related information.
 - Immediately expensed tangible personal property (§ 179).
 - Guaranteed payments for capital and services.

- Passive activity items such as rental real estate income or loss.
 - Intangible drilling and development costs.
 - General business tax credits (the partnership calculates the credit and allocates the credit to the partners so they can apply their limitations).
 - Taxes paid to non-U.S. countries and to U.S. possessions and related information (the partners decide whether to claim a foreign tax credit or a deduction and determine any limitations).
2. A partnership is not allowed to claim the following deductions:
- Net operating losses (NOLs).
 - Depletion of oil and gas interests.
 - Dividends received deduction.
- iv. Guaranteed Payments Paid by the Partnership. A guaranteed payment is a payment to a partner for services performed by the partner or for the use of the partner's capital. The partnership either deducts or capitalizes the payment, depending on its nature.
- v. Partnership Interest Expense. A partnership's interest expense also is subject to special reporting rules: it must be allocated among the partnership's various activities, generally based on how and why the underlying debt arose.
1. For a partnership or an S corporation, in the year the interest expense arises, the entity determines the amount that can be deducted.
 2. The entity deduction is an ordinary business deduction (i.e., not a separately stated item), so it would be deducted on page 1 of the partnership or S corporation return.
 3. Any disallowed business interest expense is passed through to the partners (reducing their basis in the partnership interest) and can be used to offset the partner's share of the partnership's "excess taxable income" in future years.
- c. Form 1065 Example
- i. Pages 1, 5, and 6 of the Beachside Form 1065 for its second tax year are shown on pages 9-19 to 9-21 in the text.
 - ii. Other Items Reported on Schedules K and K-2. Separately stated income and deductions are reported on Schedule K, lines 1 to 13. Other information reported on Schedules K and K-2 includes the following:
 1. The partner's share of tax credits calculated at the partnership level.
 2. Information the partner uses to make various tax or credit calculations.

3. Foreign taxes paid or accrued and information the partner needs to calculate the foreign tax credit or deduction and for other tax issues related to U.S. taxation of foreign income.
 4. Information the partner needs for other calculations and limitations.
 5. Information the partner needs to calculate the basis in the partnership interest.
 6. Any additional information the partners might need in preparing their tax returns.
- iii. Reconciling Taxable Income. The partnership reconciles “book” income with income reported on the return. The partnership calculates “taxable income”—the net of the partnership’s ordinary and separately stated income and expense amounts on Schedule K (lines 1 to 13 less any foreign tax payments shown on line 21).
 - iv. Reconciling Partners’ Capital. Schedule M–2 reconciles partners’ beginning and ending capital accounts, considering contributions to and distributions from the partnership as well as the partnership’s income, gains, losses, and deductions.
 1. Partnerships must report partners’ capital on Schedule M–2 using tax basis capital accounts. In prior tax years, capital might have been prepared using other methods, such as GAAP or § 704(b) book information.
 2. Partners’ capital on Schedule M–2 will generally equal the totals of the partner’s capital shown on Schedule L (balance sheet) if Schedule L is also prepared on a tax basis.

IV. Partner Calculations and Reporting (9.7, PPT Slides 97–100)

- a. Partner Reporting of Partnership Income
 - i. Schedule K summarizes the tax-related items for the entire partnership. Schedule K–1 summarizes the tax-related items for each partner after considering the allocation conventions outlined in the partnership agreement or required under the Code and Regulations. For each partnership item, the sum of the amounts allocated to all the partners on Schedules K–1 should equal the partnership’s total amount per Schedule K.
 - ii. Other Schedule K–1 Information. Schedule K–1 is designed to include any information the partner might need in preparing the tax return, including some information not summarized on Schedule K. Line 20 is designated for “Other Information” and could include several lines of additional details. The last several pages of the instructions for Schedule K–1 list “codes” that can be used to identify the type of information being provided, such as information needed to calculate the QBI deduction.

- iii. **Guaranteed Payments on Schedule K-1.** A partner who receives guaranteed payments during a partnership year must include the payments in income as if they were received on the last day of the partnership year. Guaranteed payments are attributed to the partner who actually received the payment. A guaranteed payment often is subject to self-employment tax and, potentially, other additional taxes.
- b. **Partner Allocations (9.8, PPT Slides 101–124)**
 - i. **Economic Effect.** Partnership allocations have, at times, been used to manipulate the allocation of tax benefits among partners. Extensive Regulations are designed to ensure that allocations do not result in undue tax revenue losses to the Treasury. The rules are complex, but the primary general rule—the economic effect test—has three general requirements.
 - 1. Code § 704(b) book capital accounts must be maintained as described in the Regulations. These capital accounts reflect contributions and distributions at their fair market values. An allocation of income or gain to a partner must increase the partner’s capital account, and an allocation of deduction or loss must decrease the partner’s capital account.
 - 2. When the partnership interest is liquidated, if a partner has a positive balance in the capital account, the partner must receive net assets with a fair market value equal to that positive balance.
 - 3. When the partnership interest is liquidated, if a partner has a negative balance in the capital account, the partner must “restore” that account, generally by contributing cash. Alternative tests may also be used to meet this requirement.
 - ii. **Substantiality.** Partnership allocations must also have a “substantial” effect, both from economic and tax consequences.
 - iii. **Precontribution Gain or Loss.** For property contributed to a partnership, the difference between fair market value and basis at the contribution date is a precontribution gain or loss.
 - 1. The partnership keeps track of these gains and losses in its § 704(b) book accounting records.
 - 2. Allocated income, gain, loss, or deduction related to such property takes the precontribution amount into account.
- c. **Schedule K-1 Example**
 - i. Refer to the Schedule K-1 on page 9-25 in the text.
 - 1. Part I includes information about the partnership.
 - 2. Part II includes information about the partner, including the partner’s profit, loss, and capital sharing percentages; share of partnership liabilities at the beginning and end of the year; and changes in the partner’s capital account during the year.

3. Part III includes information the partners use in preparing their tax return.
- ii. Qualified Business Income. A noncorporate taxpayer can deduct up to 20% of “the combined qualified business income amount” as the qualified business income deduction (QBID).
 1. For a partner, QBI does not include guaranteed payments received for services provided to the partnership or payments from the partnership under § 707(a) for services unrelated to the partnership’s business.
 2. The regulations provide that guaranteed payments for use of the partner’s capital do not constitute QBI as it is more in the nature of investment income to the partner.
 3. The QBID is calculated at the partner level. The partnership determines its QBI and reports, on Schedules K–1, any information the partners need to complete their tax returns.
 4. The additional information needed to calculate various limitations [e.g., W–2 wages and the “unadjusted basis immediately after acquisition of qualified property” (termed UBIA in the regulations)] is reported on a supporting schedule to Schedule K–1.
- iii. Concept Summary 9.3 in the text reviews the tax-reporting rules for partnership items at both the partnership and partner levels.
- d. Partner’s Basis (9.9, PPT Slides 125–131)
 - i. Each partner has an outside basis in the partnership interest. That basis is increased/(decreased) over time for the partner’s share of income/(deductions), contributions/(distributions), and increases/(decreases) in the partner’s share of partnership liabilities.
 - ii. Relevance of Partner’s Basis. The partner’s basis is important for determining the treatment of distributions from the partnership to the partner and establishing the deductibility of partnership losses.
 1. Generally, the total of the partners’ outside bases equals the partnership’s inside basis in its assets.
 2. A partner’s basis is not reflected anywhere on the Schedule K–1. Instead, each partner should maintain a personal record of the basis in the partnership interest.
 3. Under no circumstances can the partner’s adjusted basis in the partnership be reduced below zero.
 - iii. Adjustments to Basis. After the partner is admitted to the partnership, the partner’s basis is adjusted for numerous items.
 1. The following items *increase* a partner’s adjusted basis:
 - (a) The partner’s proportionate share of partnership income (including capital gains and tax-exempt income).

- (b) The partner's proportionate share of any increase in partnership liabilities.
- (c) Contributions of cash or property from the partner to the partnership after the partnership is formed.
- 2. The following items *decrease* the partner's adjusted basis in the partnership:
 - (a) The partner's proportionate share of partnership deductions and losses (including capital losses, foreign taxes, charitable contributions, and suspended business interest expense that will be available for future tax years).
 - (b) The partner's proportionate share of nondeductible expenses.
 - (c) The partner's proportionate share of any reduction in partnership liabilities.
 - (d) Distributions of cash or property from the partnership to the partner after the partnership is formed.

Example: Paige is a 40% partner in PDQ Partnership. Her basis is \$10,000 at the beginning of the year. The partnership reports income for the year of \$60,000, of which Paige's share is \$24,000. Assume Paige sells her interest in the partnership for \$34,000 the first day of the next tax year. If a basis adjustment was not allowed, Paige's share of partnership income would be subject to double taxation, as follows:

Current-year share of partnership income	
taxed to Paige	\$ 24,000
Gain on sale of partnership interest next year:	
Selling price	\$ 34,000
Basis in partnership interest	<u>(10,000)</u>
Gain on sale	<u>\$ 24,000</u>

Absent a basis adjustment, Paige could pay taxes in the current year, when income is earned by the partnership and allocated to Paige, and in the next year, when she sells her interest. However, the basis adjustment allowed ensures that Paige's share of partnership income is only taxed once (in the year earned) and not again when she sells her interest in the partnership.

Current share of partnership income	
taxed to Paige	\$ 24,000
Gain on sale of partnership interest next year:	
Selling price	\$ 34,000
Basis in partnership interest:	
Beginning basis	\$10,000

Basis increase for income	<u>24,000</u>	
Ending basis		<u>(34,000)</u>
Gain on sale		<u>\$ 0</u>

e. Effect of Partnership Liabilities (9.10, PPT Slides 132–142)

- i. All partnership debt is allocated among the partners and included in the partners' bases. Partnership debt includes any partnership obligation that creates an asset; results in an expense to the partnership; or results in a nondeductible, noncapitalizable item at the partnership level.
- ii. Allocation of Partnership Liabilities—In General. An increase in a partner's share of partnership debt is treated as a cash contribution by the partner to the partnership and increases the partner's basis.
 1. A decrease in a partner's share of partnership debt is treated as a cash distribution from the partnership to the partner and decreases the partner's basis.
 2. Recourse debt is allocated among general partners only, and nonrecourse debt is allocated among all partners. If any partner or LLC member personally guarantees a debt, it is treated as a recourse debt with respect to that partner.
 - (a) Recourse debt is partnership debt for which the partnership or at least one of the partners is personally liable.
 - (b) Nonrecourse debt is debt for which no partner is personally liable. Upon default, the lender can claim only the collateral, not the partners' personal assets.
 - (c) Qualified nonrecourse financing is a subset of nonrecourse debt that applies for purposes of the at-risk limitation discussed later in the chapter. Qualified nonrecourse financing is generally bank debt (or similar third-party debt) on real estate.
- iii. Recourse Debt Rules. Recourse debt is allocated based on each partner's "economic risk of loss."
 1. For a partnership in which all contributions and allocations have been proportionate to the capital contributions, recourse debt is allocated among the general partners in proportion to their loss sharing ratios.
 2. In more complex situations, the partner's economic risk of loss is determined under a constructive liquidation scenario outlined in the Regulations. See Example 27 in the text for an illustration.
- iv. Nonrecourse Debt Rules. Nonrecourse debt is allocated among all the partners. For our purposes, it is allocated to the partners in

accordance with their profit sharing ratios. (See Example 28 in the text.)

- v. Exhibit 9.2 in the text summarizes the rules for computing a partner's basis in a partnership interest and the order in which the rules are applied.
- f. Partner's Capital Account (9.11, PPT Slides 143–147)
 - i. The partner's tax basis is not the same as the partner's capital account.
 - ii. The partner's capital account is an accounting calculation that measures the partner's ownership of the entity. It is the partner's share of the net partnership assets (partnership equity, or assets less liabilities). A partner's tax basis measures the assets the partner can receive relative to the partnership interest without paying additional tax.
 - iii. A capital account analysis (sometimes called a "roll forward" or "reconciliation") shows the change in the partner's capital account from the beginning to the end of the tax year.
 - iv. This analysis can be prepared using any of several methods for different purposes. The methods include the tax basis capital account, GAAP, or the § 704(b) book capital methods. The GAAP and § 704(b) book capital method calculations incorporate, respectively, GAAP accounting rules or asset values. The tax method corresponds to the tax calculations made by the partnership.
 - 1. The tax basis capital account is required to be used to prepare Schedule M–2 (as well as the partners' Schedules K–1) in the partnership return.
 - 2. The GAAP method capital account might be used if the partnership has financial reporting requirements to partners or lenders.
 - 3. The § 704(b) book capital account method must be used by any partnership that has contributions or distributions of appreciated or depreciated property; § 704(b) book capital account calculations are used to ensure that liquidating distributions are in accordance with those capital accounts.
 - v. The partner's tax basis and capital accounts will typically be different for various reasons. For example, the partner's tax basis includes a share of partnership liabilities. The capital account does not.
 - vi. Concept Summary 9.4 in the text compares a partner's tax basis and capital accounts.
- g. Loss Limitations (9.12, PPT Slides 148–153)
 - i. There are four limitations on the deductibility of losses passed through to the partners.

1. Basis limitation. The basis limitation allows a loss deduction only to the extent of the partner's adjusted outside basis.
 2. At-risk limitation. Losses that are deductible under the basis limitation are deductible only to the extent the partner is at risk for the partnership interest.
 3. Passive activity loss limitation. Any losses that survive this second limitation may be subject to the passive activity loss rules. (See Example 31 in the text.)
 4. Excess business losses. If a loss passes the above three limitations, a noncorporate taxpayer must consider whether the excess business loss limitation applies.
- ii. Special rules apply to losses from real estate activities.
 - iii. Basis Limitation. A partner's distributive share of partnership losses (including capital losses) is deductible to the extent of the partner's basis in the partnership interest at year-end, before considering such losses.
 1. Losses limited due to lack of basis can be carried forward indefinitely and recognized when there is available basis.
 2. This increase might result from additional capital contributions, partnership debts, or future partnership income.
 - iv. At-Risk Limitation. The at-risk limitation allows losses only to the extent of the partner's economic investment in the partnership.
 1. Recourse debt generally is included in the amount at risk, but nonrecourse debt is not. However, qualified recourse financing is deemed to be at risk.
 2. Qualified nonrecourse financing is nonrecourse financing provided by a bank, retirement plan, or similar party or by a Federal, state, or local government for the purchase of real estate. (See Example 32 in the text.)
 - v. Passive Activity Loss Limitation. The passive activity loss rules permit the deduction of losses only to the extent of passive activity income.
 1. Passive activity income is income from a trade or business activity in which the partner does not materially participate on a regular, continuous, and substantial basis, or income from many rental activities.
 2. Material participation means that the partner should have substantial involvement in daily operations of the activity.
 3. Rent income from real or personal property generally is passive activity income, regardless of the partner's level of participation. The primary exception is that rental real estate is not treated as a passive activity for real estate professionals.
 4. As a special allowance, individuals can offset up to \$25,000 of passive activity losses from rental real estate against active and

portfolio income. (This amount is phased out at a rate of \$0.50 for every excess dollar, starting at \$100,000 of modified adjusted gross income.)

- vi. Excess Business Losses of Noncorporate Taxpayers. If a noncorporate taxpayer has net trade or business losses that (1) pass the above three tests and (2) exceed a threshold amount (\$313,000 for single taxpayers; \$626,000 for married taxpayers filing a joint return in 2025), the excess loss is carried forward as part of the taxpayer's net operating loss carryover.

V. Other Taxes on Partnership Income (9.13, PPT Slides 154–166)

- i. A partner is not treated as an employee for Federal income tax purposes. Thus, certain types of partnership income allocated to an individual taxpayer may be considered “net earnings from self-employment” or “net investment income.”
- a. Self-Employment Tax
 - i. Self-employed individuals may be liable for an SE tax, consisting of a 12.4% tax for old-age, survivors, and disability insurance (on up to \$176,100 of SE income in 2025, less any wages on which the tax is withheld) and a 2.9% tax for hospital insurance. An additional Medicare tax of 0.9% applies to SE income in excess of \$250,000 for married taxpayers filing joint tax returns (half that amount if a separate return is filed, or \$200,000 for other taxpayers).
 - ii. SE Treatment of Distributive Shares versus Guaranteed Payments.
 - 1. Distributive Shares. If the partner is treated as a general partner, his or her distributive share of partnership income is subject to self-employment (SE) tax. This tax must be paid whether or not the income is distributed to the partner.
 - 2. Guaranteed Payments. For both general and limited partners, any guaranteed payments for services are subject to the SE tax. Guaranteed payments for use of the partner's capital are not subject to the SE tax.
 - iii. SE Treatment of General versus Limited Partners. For SE tax purposes, a taxpayer might take extra measures to be classified as a limited partner. According to Proposed Regulations released in 1997 but never finalized (so not effective), a partner or an LLC member will be treated as a general partner if:
 - 1. The partner has personal liability for partnership debts by virtue of status as a partner.
 - 2. The partner can enter into contractual relationships on behalf of the partnership.
 - 3. The partner works more than 500 hours in the partnership's trade or business during the tax year.
- b. Net Investment Income Tax

- i. An individual taxpayer's "net investment income" (NII) is subject to an additional tax of 3.8% to the extent the taxpayer's modified adjusted gross income (MAGI) exceeds \$250,000 for married taxpayers filing joint returns (or half that amount if a separate return is filed) or \$200,000 for other taxpayers.
 1. Guaranteed payments for the use of a partner's capital may be considered an investment of working capital that is included in NII.
 2. Certain types of income allocated from a partnership are also treated as NII, such as:
 - Dividends.
 - Interest.
 - Passive activity income.
 - Gains from property not used in a trade or business.

VI. Tax Planning

- i. Proper Federal tax planning should be used at all stages of entity formation and operations.
- a. Choosing Partnership Taxation (9.14, PPT Slides 167–178)
 - i. Partnership income may be subject to high tax rates at the partner level, but this tax will generally be lower than the combined layers of tax on corporate income.
 - ii. Income tax rates don't tell the full story.
 1. An active "general" partner might be subject to self-employment tax (up to 15.3% of income, plus additional Medicare tax of up to 0.9%) on the entire distributive share from the partnership, as well as on any guaranteed payments for services.
 2. A C or S corporation shareholder will only be subject to employment taxes to the extent the shareholder receives wages from the entity.
 3. Distributions from a C corporation (dividends) might be subject to net investment income tax, but for partners or S corporation shareholders, this tax only applies to distributive shares of the entity's actual investment income.
 - iii. When selecting a legal form in which to conduct business, a complete analysis must consider the expected types and amounts of income for both the entity and the owners, plans to distribute cash flows, differences between actual salaries or wages that might be paid versus the amounts a partner would be required to report as self-employment income, and whether additional taxes might apply.

- iv. The chief disadvantage of partnerships is that any general partners might be liable for entity debts. However, if the partnership can operate as an LLC or LLP, the owners' liability is minimized.
- v. For both C and S corporations, income or loss allocations or distributions are required to be proportionate to ownership interests.
- vi. For smaller business operations, a partnership enables several owners to combine their resources at low cost.
- vii. For larger businesses, a partnership offers a unique ability to raise capital with low filing and reporting costs compared to corporate stock or bond issuances.
- viii. Concept Summary 9.5 in the text outlines considerations in choosing to use a C corporation, an S corporation, or a partnership as a means of doing business.
- b. Formation and Operation of a Partnership
 - i. Potential partners should ensure that they will not be taxed on gains realized when transferring assets to create the entity.
 - ii. A partner can make a tax-deferred contribution of assets to the entity either at the inception of the partnership or later. This possibility is not available to less-than-controlling shareholders in a corporation.
 - iii. Special allocations of income, expense, or credit items must satisfy certain requirements to be acceptable to the IRS.
- c. Basis Considerations and Loss Deduction Limitations
 - i. If a partnership incurs a loss for the taxable year, careful planning will help ensure the partners can claim the deduction.
 - ii. A partner can contribute capital to the partnership before the end of the tax year. The partner's cash contribution or share of debt increases the partner's basis in the partnership interest. If the loss also meets the "at-risk," "passive," and "excess business loss" hurdles, the loss can be deducted.
 - iii. In the following year, if the partnership is expected to report adequate taxable income, the partner could withdraw cash or the partnership could pay off debt, without triggering gain recognition.
- d. Partners' Capital Considerations
 - i. A partnership must report tax basis capital accounts on the partners' Schedules K-1 and on the partnership's Schedule M-2.
 - ii. A partner can have a negative tax basis capital account balance, but the tax preparer should be able to explain the reason for the negative amount.
 - 1. Determine the reason.
 - 2. Verify that allocations to the partner are within the limitations under §§ 704(b) and (c).

3. Verify that allocations follow the guidelines set forth in the partnership agreement.
 4. Review distributions to determine whether they exceed the partner's tax basis in the partnership interest (if possible).
 5. Prepare the additional documentation required by the IRS.
 6. Notify the partnership and (if feasible) the partner if there is an error or a potential IRS investigation issue.
- e. Partnership Reporting Requirements
- i. The partnership return is generally due by the fifteenth day of the third month following the tax year-end (March 15 for a calendar year partnership).
 - ii. The partners cannot file an accurate return until they receive the Schedule K-1 from the partnership.
- f. Transactions between Partners and Partnerships
- i. If both a partner and a partnership are involved in a single transaction, pay attention to how the transaction is structured. Consider the impact of related party rules, and restructure the transaction, if necessary, to avoid unanticipated adverse tax results.
 1. Certain transactions between a partner and the partnership are treated as if the partner were an outsider, dealing with the partnership at arm's length.
 - Loan transactions.
 - Rental payments.
 - Sales of property between the partner and the partnership.
 - Payments for services when the services are short-term technical services the partner also provides for parties other than the partnership.
 2. For some transactions, the partner and partnership are treated as related parties, and the tax treatment is adjusted accordingly.
 - No loss is recognized on a sale of property between a person and a partnership when the person owns, directly or indirectly, more than 50% of partnership capital or profits.
 - Gain is treated as ordinary income (rather than capital gain) if the sale or exchange is between a partnership and a more-than-50% partner, unless the property is a capital asset to both parties.
 - ii. The partner should consider leasing, rather than selling, property to a partnership. The partner recognizes rent income (which might be qualified business income, eligible for up to a 20% deduction), and the partnership has a rent expense.
- g. Importance of the Partnership Agreement
- i. A partner's distributive share of income, gain, loss, deduction, or credit is determined in accordance with the partnership agreement.

- ii. While a formal agreement is not always required, an agreement that sets forth the obligations, rights, and powers of the partners would provide some certainty as to the tax consequences of the partners' actions.

[\[return to top\]](#)